sideways as the diamond reversal forms, and the range widens as higher highs and lower lows appear. Then the tide turns and the range narrows; lower highs follow higher lows. The diamond pattern takes shape after connecting the boundaries of the price movement with trendlines. This is a pretty-looking diamond with price crossing the pattern from top to bottom, filling the whitespace with price movement.

Volume throughout the diamond is receding. This occurrence is typical but not a prerequisite for a well-formed diamond bottom. Volume usually surges on the breakout. The figure shows that breakout volume is four times the prior day but is just slightly above average for the stock.